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Sustainable Finance & Fund Structuring

A Study of French Private Equity

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Foreword & acknowledgments

Disclaimer

The analyses, interpretations, and conclusions presented in this document are solely those of the author. They should not be interpreted as representing the official position of the institutions in which I work or have worked, of the project's partners, or of its funders. Any error, omission, or inaccuracy remains my sole responsibility.

This study is in no way normative and does not conclude that one type of structuring is "superior" to another. Its main purpose is to provide a transparent and independent benchmark of private equity fund structuring practices around sustainable finance issues.

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Executive summary

Sustainable finance & private equity: why this study?

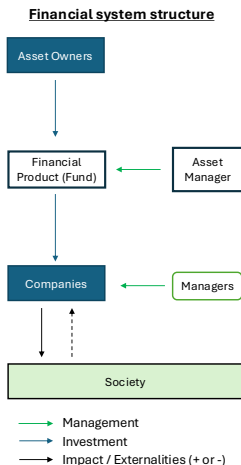
Sustainable finance, understood as the integration of sustainability criteria into investment decisions both to better manage the financial risks related to sustainability issues and to generate positive social or environmental impact through allocation, has emerged as a structural transformation of the financial system. This has occurred under the combined effect of long-term macroeconomic constraints, regulatory pressures, and growing expectations from clients. Planetary boundaries, the financing needs associated with the Sustainable Development Goals, the just transition, and rising social and climate risks are pushing financial actors to integrate sustainability issues more explicitly into their decisions. This dynamic has been underway for twenty years, and the PRI now bring together 5,300 signatories representing \$128.3 trillion in assets (UNPRI, 2025). At the same time, the impact investing market has grown strongly in recent years, reaching \$1.571 trillion in 2024 (+21.1% p.a. since 2019, GIIN).

Private equity is also affected by this transformation. Historical investment strategies are evolving to integrate ESG risks, and GPs are developing new investment theses to capture growth opportunities linked to financing the SDGs, particularly on climate-related issues. GPs highlight the advantages of the private markets with regard to sustainability issues: long-term support, proximity to management teams, operational transformation capacity, and access to assets providing innovative solutions to climate and social challenges. In this context, **69%** of GPs view ESG as a long-term value-creation lever (according to a recent PwC survey, 2024), fundraising committed to sustainability increased by approximately **30% per year between 2015 and 2020** (McKinsey survey, 2021), and the private markets already accounted for **65%** of impact assets in 2022 (GIIN, 2023). In France, for example, cleantech and energy-transition infrastructure investments reached **EUR 2.4bn across 150 transactions** in 2024 (France Invest, 2025).

Despite this rapid development, the systemic impact of these practices remains uncertain (Schlütter, 2023). That impact depends on the systematic activation of the concrete levers of sustainable finance, in particular capital allocation that integrates sustainability factors and shareholder engagement on sustainability issues. In an intermediated financial system such as ours, and even more so in private equity, that activation itself depends on the nature of the mandates entrusted to managers and on their organizational implications: assigned objectives, dedicated resources, and incentive and control mechanisms. Yet these mandates, their translation into the organizational architecture of funds, and the practices actually implemented remain structurally little visible outside the fund's legal documentation, which is not public by nature. **This study aims precisely to document and make visible the detail of these mandates and their organizational implications**, and to discuss their characteristics in relation to the funds' sustainable finance strategies.

This issue is becoming even more pressing in a context of private-market *"retailization"*: at the end of 2024 in France, fundraising directed at retail investors was still increasing by **29%**, reaching EUR 2.4bn (France Invest, 2025).

A blind spot: the upstream structuring of investment organizations



Existing academic and practitioner work (TCFD, PRI, iCI, France Invest, Impact Frontiers, etc.) mostly focuses on the downstream part of the investment chain. It analyzes interactions between investors and portfolio companies: capital-allocation strategies (positive or negative screening, impact investing, *blended finance*), shareholder-engagement practices and portfolio-company support, as well as their effects on company behavior and, ultimately, on society. This body of work enables the identification and formulation of recommendations on the main levers that GPs can activate to integrate sustainability issues and potentially generate positive social or environmental impact.

This study focuses on an upstream phase: the organizational structuring of investment vehicles. In private equity, interactions between LPs and GPs materialize in management mandates that define, from fundraising onward, an important part of how the vehicles will operate thereafter. These mandates lock in three interdependent organizational characteristics: the **value-creation objectives** pursued (financial, social, environmental), the **resources** mobilized to achieve them (teams, processes, tools), and the **incentive mechanisms** (carried interest) and **control mechanisms** (specific committee) that shape the behavior of investment teams.

The central idea is therefore the following: impact is realized and measured downstream in the investment chain, but it appears to be largely constructed upstream, in the fund's organizational architecture. In other words, the ability of GPs to activate the levers of sustainable finance systematically depends in part on the way their vehicles are structured.

Research question: How does the organizational structure of funds evolve when they integrate a sustainable finance logic?

Objectives: Document how funds are actually structured, identify the main organizational configurations observed, and assess what these configurations reveal about the vehicles' actual degree of sustainable commitment, beyond compliance with frameworks or regulation.

Scope of the study & methodological elements

Scope: French funds able to invest in equity, regardless of the maturity or type of underlying companies, raised since 2017.

A few figures on data collection:

- 175 GPs contacted, 91 interviewed, 43 under NDA. → 95 funds processed, 10 still awaiting data (questionnaires or second phase), after excluding fund-of-funds and single-LP vehicles, the analysis covers 89 direct funds.
- Processed sample: 55 buyout funds, 31 VC funds, 7 infrastructure funds, 2 fund-of-funds, including 22 impact funds, 42 Article 8 funds, and 30 Article 9 funds.

→ Because participation was voluntary, the sample necessarily over-represents actors that are sensitive to sustainability issues.

The sample nevertheless remains **representative of the diversity of strategies in the French market**.

Documents collected: PPMs, LPAs, ESG charters (& side letters), manually coded using **more than 120 variables** drawn from the academic literature and market frameworks (the variable dictionary is available in the full report).

Coding logic (2 levels):

- **Macro variables (overall architecture):** general characteristics of the vehicles (BO/VC/Infra, ticket sizes, etc.) and level of extra-financial structuring (formalization of a sustainable investment objective, presence of key ESG screening/support/reporting processes, presence of structuring mechanisms such as the *EF Committee* and the *EF Carried*).
- **Micro / modular variables (mechanism design):** when the mechanisms are present, detailed coding of their modalities: (i) characterization of the sustainability objective pursued, (ii) modalities of *EF Carried* indexation, (iii) composition and effective rights of the *EF Committee*, (iv) modalities for defining/monitoring sustainability objectives at the level of portfolio companies (*IMM Process*), and (v) degree of contractualization of commitments in the **fund legal documentation**.

Analytical procedure (several phases):

- **Phase 1 — Descriptives:** description of the sample and the prevalence of variables (% , averages, dispersion).
- **Phase 2 — Typology (clustering):** beyond "variable-by-variable" statistics, identification of **fund-type configurations** (combinations of practices) through a **clustering** analysis at the level of macro variables and the different micro modules. This step enables the summarization of architectural heterogeneity and the establishment of an interpretable fund typology. The process is presented in detail in the Method section of the full report.

Macro results: three sustainability profiles

The macro analysis highlights 3 profiles of sustainable structuring, describing a continuum rather than an opposition between "sustainable funds" and "non-sustainable funds."

Table 1: Three macro clusters of sustainable architecture

Cluster	n	%
C1: No Sustainability Process	13	14.6%
C2: Sustainability Process without Governance Mechanisms	30	33.7%
C3: Sustainability Process with Governance Mechanisms	46	51.7%

We observe a broadly shared basic ESG process. The majority of funds already integrate a "generic" ESG process: 89.9% apply screening through an exclusion list and perform an ESG analysis at entry, 80.9% measure sustainability indicators at portfolio-company level, and 78.7% set sustainability objectives at portfolio-company level. On the contractual side, 88.6% have an exclusion list, 85.2% a generic ESG-risk integration clause, 65.5% commit to carrying out systematic ESG analysis at entry, and 60.2% commit to annual ESG reporting.

The signature variables of the three clusters capture their differences. **Cluster 1** groups together funds **without sustainability process nor organizational mechanisms**: **only 1 fund out of 13** mentions an EF Committee, and in a symbolic form (i.e., without formal decision rights, which does not preclude practical effects), **only 1 fund out of 13** undertakes extensive legal commitments, and all the others remain centered on minimal contractualization limited to exclusion lists, without formalized screening or support processes. **Cluster 2** corresponds to funds with a structured process-oriented approach, but without dedicated governance: **63%** fully contractualize their sustainability processes, **87%** assign objectives to portfolio companies, but **83%** have no EF Carried and **97%** no EF Committee. **Cluster 3**, by contrast, combines the main building blocks of a robust architecture: **96%** undertake contractual commitments regarding their sustainability approach, **91.3%** display an explicit sustainable objective, **78.3%** have a Sustainability Team, **80.4%** an indexed carried interest, and **60.9%** an EF Committee. Even within the most structured cluster, we observe heterogeneity in the use of the four organizational mechanisms.

→ **The market therefore broadly shares a basic ESG process, but the difference lies in the depth of the associated organizational structure.**

Micro results: 4 organizational mechanisms, 12 modalities, and major design differences

Beyond the presence of organizational mechanisms (sustainable objective, IMM process, EF Carried, EF Committee), we also analyze their design, which can vary from one fund to another.

Table 2: Summary of micro modules: observed modalities and differentiating variables

Module	Observed modalities	Differentiating variables
Sustainable investment objective	Mixed focus, non-contractual, support-oriented; Contractual social focus, no target, solutions-oriented; Contractual environmental focus, support and solutions-oriented	Type of objective, additionality strategy, contractualization of intentionality, explicit targets, impact reporting and impact analysis
EF Committee	Symbolic; Controlling	Validation of EF KPIs, targets, methodology, weighting of the EF score, presence of independent members
EF Carried	Specific Outcome Targets, Thresholds, High indexation; Global Outcome Targets, Linear; Mixed Global Targets, tiered thresholds; Generic	Nature of objectives (means vs. outcomes), level of objectives (company vs. fund), share of carried indexed, offsetting across objectives, vesting mechanism (linear or tiered, thresholds)
IMM Process	Low; Intermediate: robust measurement & targets; Comprehensive	Inclusion in transaction documentation, use of frameworks, management package indexation, validation by a committee, independent measurement, continuity at exit

The distribution of modalities reveals a new source of structural heterogeneity. For the **sustainable investment objective**, the dominant modality is the **contractual environmental focus** (26 funds out of 52, i.e. 50%), ahead of the **mixed, non-contractual focus** (14 funds, 26.9%) and the **contractual social focus without an explicit target** (12 funds, 23.1%): the sustainable intention is therefore explicit, but not with the same level of enforcement. For the **EF Committee**, **controlling committees** dominate (20 funds out of 30, i.e. 60%) over symbolic committees (10 funds, 40%): when this module exists, it is therefore more often substantive.

The distribution of **EF Carried** is the most dispersed: **15 funds out of 42 (35.7%)** fall into an EF carried-interest structure calibrated to specific outcome targets, **12 (28.6%)** into a **generic** modality, **10 (23.8%)** into a **global outcome-target** logic, and **5 (11.9%)** into a **tiered** mechanism. Finally, the **IMM process** is distributed across **31 funds out of 70 (44.3%)** in the **low** modality, **21 (30%)** in the **comprehensive** modality, and **18 (25.8%)** in the **intermediate** modality, confirming that the structuring of target-setting and measurement of sustainability-linked objectives remains highly uneven across funds.

→ **Two funds may display the same mechanism but with a different design: what matters is not only the presence of the mechanism, but also its precise modality and the level of coercion it implies.**

Organizational typology: 8 signatures and strong dispersion

The structuring of a vehicle relies on a combination of mechanisms. We therefore conclude with a final analysis that brings out structuring profiles based on the joint use of the modalities of these mechanisms.

Table 3: Distribution of organizational signatures by SFDR classification and impact status

Signature	N	Non-impact	Impact	SFDR NA	SFDR 6	SFDR 8	SFDR 9
No structured approach	14	14 (21%)	0 (0%)	2 (50%)	8 (62%)	4 (10%)	0 (0%)
Minimal IMM Process - no E&S focus	11	11 (16%)	0 (0%)	1 (25%)	3 (23%)	7 (17%)	0 (0%)
Internal Resources	18	17 (25%)	1 (5%)	1 (25%)	2 (15%)	13 (31%)	2 (7%)
Mixed focus - generic EF carried + IMM	9	8 (12%)	1 (5%)	0 (0%)	0 (0%)	8 (19%)	1 (3%)
Env. focus - symbolic structuring	7	6 (9%)	1 (5%)	0 (0%)	0 (0%)	6 (14%)	1 (3%)
Env. focus - robust incentive	8	5 (7%)	3 (14%)	0 (0%)	0 (0%)	2 (5%)	6 (20%)
Env. focus - comprehensive architecture	11	2 (3%)	9 (41%)	0 (0%)	0 (0%)	0 (0%)	11 (37%)
Social focus - comprehensive architecture	11	4 (6%)	7 (32%)	0 (0%)	0 (0%)	2 (5%)	9 (30%)
Total	89	67 (100%)	22 (100%)	4 (100%)	13 (100%)	42 (100%)	30 (100%)

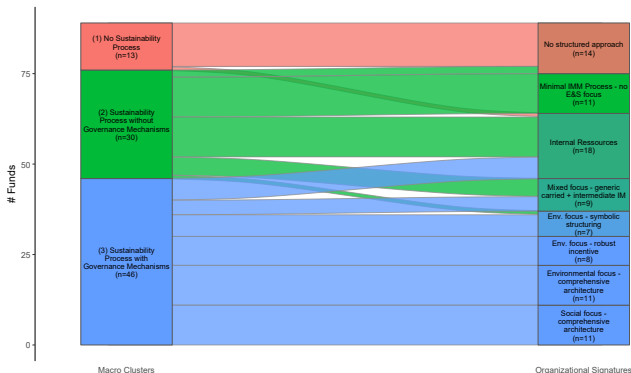
The final typology identifies eight organizational signatures, and shows strong dispersion even within the macro sets themselves: the cluster *Sustainability Process without Governance Mechanisms* is distributed across **5 signatures**, and the cluster *Sustainability Process with Governance Mechanisms* across **6 signatures**. Three broad families emerge: **weakly structured architectures** (*No structured approach, Minimal IMM Process - no E&S focus*: **25 funds, 28.1%**); **intermediate forms** (*Internal Resources, Mixed focus - generic EF carried + IMM, Env. focus - symbolic structuring*: **34 funds, 38.2%**); and **robust or comprehensive architectures** (*Social focus - comprehensive architecture, Environmental focus - comprehensive architecture, Env. focus - robust incentive*: **30 funds, 33.7%**).

Labels and regulation capture this heterogeneity only imperfectly. 90% of Article 9 funds and 90% of impact funds are concentrated in the most robust architectures, but **4 Article 9 funds out of 30 (13%)** retain minimal or symbolic structuring, **4 Article 8 funds out of 42 (10%)** instead display a comprehensive architecture, and **11 non-impact funds out of 67 (17%)** already have a signature structured around a sustainable objective.

→ **SFDR categories and "impact" status provide a useful first signal, but they do not properly capture the dispersion of the organizational architectures observed.**

Organizational typology: visual representation

The following figure enables an analysis of how the initial macro-level decomposition is distributed within the final organizational typology. As a reminder, we had formed 3 clusters from the surface-level variables presented in the funds' commercial documentation: no sustainability process, sustainability process without associated governance, and sustainability process with associated governance.



Reading note: the color of the cells in the organizational typology corresponds to a weighted blend of the colors of the macro clusters composing them, as a function of the relative share of each macro cluster in the signature considered.

Comment. Logically, almost all funds in macro cluster 1 (no sustainability process) display the organizational signature "No structured approach," while those in macro cluster 3 (sustainability with governance) display one of the more comprehensive signatures.

It is particularly interesting to note (i) substantial organizational heterogeneity within macro clusters 2 and 3, which are distributed across 5 and 6 organizational signatures respectively, and (ii) the fact that the types "Internal Ressources," "Mixed focus - generic EF carried + IMM," and "Env. focus - symbolic structuring" are shared across these two clusters. **This reinforces the idea of significant organizational heterogeneity behind the display of a structured sustainability process and the use of certain governance mechanisms.**

Recommendations, implications, and perspectives

Conclusion. The first finding of the study is the existence of a shared basic ESG process, widely used across all funds. The second, and main, result is the heterogeneity of the organizational structuring observed around sustainability issues across funds, summarized in the typology presented above. Some funds displaying a comprehensive or intermediate structuring, with precise and sometimes finely calibrated mechanisms that reflect genuine sensitivity to sustainability issues.

Implications. The rapid development of these sustainable investment strategies and the growing willingness to broaden the investor base of these funds, particularly toward retail investors, reinforce the need to **better understand how vehicles are structured** more generally. Sustainability adds a layer of complexity to an asset class already perceived as opaque by non-specialists: it therefore becomes useful to have a **common analytical framework** for funds, based on the vehicle's **sustainability objectives**, the **dedicated resources**, the **incentive and control mechanisms used and why**, and also on the **precise design** of these mechanisms and their **internal logic** within the fund architecture.

For regulators, industry associations, LPs, and GPs. The study highlights a useful blind spot to be filled: the **organizational structuring** of funds. In France, much industry-level work has been carried out to support the development of sustainable finance within this asset class, notably under the auspices of France Invest, FIR, PRI, or the Institut de la Finance Durable. However, this work focuses on the relationship between the GP and portfolio companies. PRI reporting, for instance, mostly focuses on GP practices. SFDR regulation, for its part, mostly focuses on outcomes and disclosure. A clear and common disclosure layer is still missing on this organizational dimension, even though the heterogeneity observed often appears in *detailed clauses* that are not easily accessible to the public. For LPs and GPs, the SFDR signal or an "impact" positioning is therefore not sufficient to summarize a fund's actual structuring: the mechanisms must be read at the level of their **design** and their **combination**. Establishing such a reading grid would enable the demonstration of industry actors' commitment and increase their legitimacy with investors and stakeholders.

Limitations. The sample remains limited in size: it is sufficient to bring out regularities and a useful typology, but it does not claim to represent the market as a whole. At this stage, the dataset also does not enable the direct assessment of the effect of the architectures observed on the vehicles' financial or extra-financial performance.

Extensions. This database opens up several natural next steps: analysis of team composition, incorporation of fundraising data to document the historical dynamic, **matching** with ESG and financial performance data, with actual portfolio composition, with disclosure and communication data, and then a progressive extension of the framework at an international scale.

Sample description — General

Variable	Source Doc	n	n = 1	Average
Flag BO	Legal	89	53	59,6%
Flag Infra	Legal	89	7	7,9%
Flag Majo	Legal	89	40	44,9%
Flag Mino	Legal	88	47	53,4%
Flag VC	Legal	89	29	32,6%
Ticket Max	Legal	74	–	19,601
Ticket Min	Legal	75	–	5,078
Impact	Commercial	89	22	24,7%
SFDR: Art. 8	Legal	89	42	47.2%
SFDR: Art. 9	Legal	89	30	33.7%

Comment. The sample used for the analysis therefore consists of 53 buyout funds, 29 VC funds, and 7 infrastructure funds or funds with infrastructure-type underlying assets. We excluded single-LP funds, as well as corporate funds, in order to focus the analysis on funds managed by independent management companies. The distribution between funds taking majority and minority positions is fairly balanced.